Opinion **Unhedged**

War and the Fed

Plus retailer stablecoins

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Good morning. Retail sales in China picked up in May, while factory output slowed, according to official government statistics. The retail numbers were particularly good — up 6.4 per cent from the year before, compared with a 5.1 per cent gain in April. This suggests that China's trade-in and subsidy schemes are working, and perhaps that the US-China trade truce is helping Chinese households. But with moderate investment and slowing output, China still isn't going into the next round of trade negotiations on the strongest footing. Email us: unhedged@ft.com.

Oil prices and monetary policy

Some newsletters age like half a head of lettuce. Our first piece on the Israel-Iran conflict threatens to become one of them.

Our central point — that the oil market should remain calm if the conflict stays within the borders of Iran and Israel — still holds. After a brief freakout yesterday morning, the crude price continued its steady fall from Friday. Our argument that the cental forecast was de-escalation is wilting, however. Horribly, the conflict has heated up. There have been more missile volleys from both sides, Israel now controls part of Tehran's airspace and is calling for evacuations, and hawkish voices are calling for the US to help destroy Iran's underground nuclear facilities. All of that seems to thicken the ugly tail of the probability distribution and increase the odds of a big jump in the oil price.

The Federal Reserve's Federal Open Market Committee begins its June meetings today. Chair Jay Powell will be asked about the conflict and what it means for the Fed's outlook in tomorrow's press conference. He will be circumspect. It is too early for the Fed to speculate about the economic impact, and the conflict is unlikely to be reflected in the committee's economic projections. Perhaps more importantly, it is not totally clear what the Fed should do.

Torsten Sløk, chief economist at Apollo, points out that the Fed's model has a $10 jump in the oil price feeding through to a 0.4 per cent drag on US GDP and a 0.35 per cent increase in inflation — 0.2 per cent from higher energy prices directly, and 0.15 per cent from their secondary effects. In other words, expensive oil just amplifies the Fed's biggest worry: stagflation, which forces the bank to choose between supporting growth and fighting inflation.

Which gets priority will probably come down, in large part, to the sequencing of the economic impacts. The Fed can only respond to the data that comes in. But historically speaking, the Fed's preferences matter, too. "Arthur Burns was more growth focused and Paul Volcker was more inflation focused, so it depends on the era," says Joseph Wang at Monetary Macro. Wang reckons that the Fed currently values employment over inflation, and would thus favour a cut if the oil price begins to levy a de facto tax on businesses and consumers. But the Fed will only look through oil-driven inflation if long-term inflation expectations remain anchored. Those had been falling, but they have started ticking up since the start of the Iran-Israel conflict:

Fracking has turned the US into a major oil exporter, so this moment is very different from the oil crises of the last century. Our colleague Chris Giles noted to us that "high oil prices redistribute among different groups in the US (producers gain, consumers lose)". In other words, the impact on inflation and growth are not unidirectional. So, again, the sequencing and detail of the data will matter.

The futures market has only barely changed its implied outlook for the Fed's policy rate. Expectations have slipped to a bit less than two 25 basis point cuts since the conflict started last Thursday:

We think the Fed only has one option for now: keep watching inflation expectations, and hold.

(*Reiter*)

Walmartcoin, Amazoncoin, et al

While we were distracted by missiles late last week, The Wall Street journal reported this:

> Walmart, Amazon and other multinational giants have recently explored whether to issue their own stablecoins in the US, according to people familiar with the matter . . .

> The retailers’ final decisions would depend on a bill, called the Genius Act, which would begin to establish a regulatory framework for stablecoins . . .

“Have recently explored” does a lot of work there. People at companies talk about a lot of things at a lot of meetings. But down in paragraph 14, there was something firmer:

> Merchant trade groups have been meeting with lawmakers in recent months to push for passage of the Genius Act. The trade groups, led by the Merchants Payments Coalition, have said that a regulatory framework for stablecoin would enable an alternative payment type for merchants that could significantly lower their expenses and create competition against Visa and Mastercard.

Talking is one thing. Lobbying is another. And the shares of the card network operators took notice of the story:

I have said that the Genius Act is, in fact, legislation establishing a light-touch banking regime and none of you believed me. Do you believe me now? While crypto nerds natter on about a utopian future without fiat currency, the retailers are like “these stablecoin things are obviously banks, so now we might finally have our own banks instead of paying other people’s banks, get the lobbyists on the phone *right now*”.

One might argue, perfectly plausibly, that the retailers aren’t interested in becoming full-on banks — they just want to build an alternative set of payment rails so they can avoid paying the credit card networks. But remember that this is *absolutely not* what the Genius Act creates. What the Genius Act creates is legal entities that take people’s fiat currency and provide a thingy in return that can be redeemed on demand and at par; the entities invest the fiat; and if the entities go bankrupt, the people holding the thingies are the entities’ creditors. That means the entity is a bank, and the thingies are bank deposits.

One might also argue, again perfectly plausibly, that all the WSJ article describes is nothing but the creation of a giant gift card programme. And that seems right, more or less, so long as the stablecoins/gift card accounts can only be spent at one store. But if they can be spent in multiple stores, and the issuers start to hold a significant amount of fiat reserves, it all starts to smell a lot like banking.

If retailers' stablecoins can only be spent at their stores, what's in it for the customers? Discounts? If that's the case, the stores have saved on the card network fees and given the savings back to customers. On the other hand, if people forget about the money they put into the stablecoins/discount cards or can't spend all of it, the retailers get to use it. Starbucks, which has sales of about $28bn a year, has $2bn in gift card liabilities on its balance sheet. That's someone else's money they get to hold and collect interest on — a "float". Walmart has sales of about $450bn a year. Should it convert a chunk of its customers to paying in Walmartcoin, the float could be very big.

What could go wrong? Amanda Fischer of Better Markets shared her thoughts on X:

> [The retailers] will implement dynamic pricing for customers and they'll create new tying arrangements for small business vendors. They'll force you to keep balances in their Dollars™ and keep the float. They'll set up new yield Ponzis that will siphon money from lending until it explodes.

My own view is somewhat less apocalyptic. But let me say it again for the people at the back: stablecoin issuers, under the Genius Act, are a special class of lightly regulated bank. Maybe those would be good things to have. But don't get distracted by the idea that any of this has very much to do with technology. It doesn't.

One good read

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